

Buying a House Together

If the two of you decide to buy a house together, in addition to making sure that both of your names are on the deed, you should make sure the deed also indicates your preferred method of jointly holding property. Specify either “joint ownership with rights of survivorship” or “tenants in common.”

Joint Ownership with Rights of Survivorship

The simplest method of transferring property is joint ownership with rights of survivorship, which means that if one of you dies, the other automatically inherits the property. For estate tax purposes, it will be presumed that if there is a joint tenancy between unmarried individuals, the deceased tenant owned the entire property. It is up to the surviving tenant to prove that they made a contribution toward the purchase of the property in order to avoid its total inclusion in the deceased tenant’s estate. You don’t have the option of leaving your share at your death to someone other than your partner since joint ownership provisions in the deed will override any bequest in your will. In a joint tenancy with rights of survivorship between unmarried parties either party could legally force a sale through the use of a partition proceeding.

Tenants in Common

Being tenants in common means that each of you owns half of the house. If you die, your share will go to the person or persons indicated in your will (if you have one), or else to your next of kin. This method of ownership allows for owners with unequal equity. For example, you may own 75 percent of the house and your partner may own 25 percent. Each of you can sell or give away your share or leave it to one or more individuals of your choice, such as kids from a previous relationship. Having a will is critical if you own property as tenants in common.